The REER is arrived from NEER the way real GDP arrived from nominal GDP after correcting it for price change.

NEER = Domestic currency exchange rate in terms of SDR/ Foreign Currency exchange rate in terms of SDR

REER = NEER × Domestic price index / Foreign price index

The price index is CPI (combined). The way it is calculated by the basket of SDR currencies there are two other EERs. One is based on top six trading partners' currencies and another is based on next 36 top trading partners' currencies.

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1 The contents of this part is based on Balance of Payments Manual for India, September 2010, RBI

2 M.L. Jhingan International Economics

3 Net means the difference between inward flow and outward flow.

4 LIBOR stands for London Interbank Offer Rate. It refers to the interest rate in the London call money market.

5 Swap is a common arrangement for exchanging one with another in financial market instruments like debt, share, etc. Exchange can be between shares, between debentures, etc. Here SWAP is the exchange of loan in one currency to loan another currency. The interest rate difference between these loans is called SWAP rate, generally as SWAP. http://www.swap-rates.com/Definitions. html observes as, "Swap is a debit or credit paid or earned as a reflection of the varying interest rates applicable to currency pairs. When trading the USD for example, swap rates will be determined based on the interest rates of the countries being represented by this pair. Depending on whether you are long or short and which country has higher interest rates, you may be charged or credited interest. Essentially, when a trader holds a position over night they are subject to the interest rates applicable to the currency pair they are trading. 'Swap' is also commonly referred to as 'rollover rates'."

6 India to sign deal next week July 31 2009, *Joongang daily*